Reasons for Staying Small

Exam code: 9BS0

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Written by: Steve Vorster
Reviewed by: Jenna Quinn
Updated on 3 September 2025

Small business survival in competitive markets

- Many firms start small and grow into large companies or even **multinational corporations**
  - For example, **Amazon's** founders started the business in a garage
- While many firms grow, others do not, or they **intentionally choose to remain small** but are **successful for a range of reasons**

Product differentiation and unique selling points

- Small firms often **offer something unique** that larger businesses cannot easily copy
  - A **unique selling point (USP)** helps a business stand out in a crowded market
  - Products might be handmade, locally sourced or tailored to a niche audience
    - E.g. a small chocolate company selling luxury vegan truffles that aren't available in supermarkets

Flexibility in responding to customer needs

- Small firms can **adapt quickly** because they have fewer layers of decision-making
  - They can change product features, pricing or delivery methods with ease
  - They may be more likely to experiment with new ideas or react to trends faster than bigger firms
    - E.g. a local café may switch to oat milk or offer gluten-free cakes based on regular customer requests

Customer service

- With fewer customers, small firms can **build close relationships** with customers and offer a **personal experience**
  - Customers may value being recognised and listened to

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

style preferences and offers appointments outside regular hours

E-commerce

- The internet allows small firms to **reach national or global markets** without needing lots of money
  - These firms can sell through platforms such as Etsy or their own website
  - E-commerce lowers costs by removing the need for a physical shop
    - E.g. a jewellery maker selling handmade earrings through Instagram and shipping across the UK

Owners' objectives

- Some small firms exist because their owners do not aim for rapid growth or maximum profit
  - They may focus on achieving **work-life balance** or doing something they enjoy
  - This is known as **satisficing**, which is aiming for enough profit to live comfortably rather than the highest possible return
  - Many small businesses are lifestyle businesses, set up to suit personal goals rather than pursue aggressive expansion
    - E.g. a self-employed graphic designer working from home who chooses projects they enjoy and sets their own hours

Case Study

Choosing to stay small — The Cornish Scent Company

- The Cornish Scent Company produces handmade scented candles and toiletries using natural ingredients,

Why the business chose to remain small

- **Product differentiation and USPs**
  - Each product is handmade using locally sourced ingredients
  - Scents such as "Cornish Sea Breeze" and "Clotted Cream and Honey" reflect the region's identity
  - The small-batch process and unique branding help the company stand out from mass-produced competitors
- **Customer service**
  - The owners personally handle most customer interactions
  - This personal touch — such as handwritten thank-you notes — has helped build strong customer loyalty and excellent reviews online
- **Owners' objectives**
  - The owners, a husband-and-wife team, started the business to pursue better work-life balance after moving away from busy city jobs
  - They prioritise family time and creative control over high profits, showing clear **satisficing** behaviour
- **E-commerce**
  - Rather than opening a shop, they sell online through their website and Etsy
  - This keeps overheads low and allows them to reach customers across the UK without growing the business too quickly

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